

Provident Fund (PF), NPS & Statutory Gratuity Rules

Statutory Calculation Formulas, Eligibility Cutoffs, and Tax Exemption Limits

Section 1: Provident Fund (PF) Statutory Framework

Employees contribute 12% of their Monthly Basic Salary toward the Employees' Provident Fund (EPF). The employer provides a matching contribution of 12%, divided as: 3.67% to EPF and 8.33% to the Employees' Pension Scheme (EPS), capped at \$175 USD monthly. Employees may additionally opt into the Voluntary Provident Fund (VPF) at any contribution rate above the statutory 12%, up to 100% of Basic Salary.

PF balances earn interest declared annually by the trustee board and are fully vested from day one — there is no service-based vesting schedule on the employee's own contribution. Employer contributions vest immediately as well, consistent with the statutory framework.

Section 2: National Pension Scheme (NPS) & Superannuation

Grade L4 and above employees may additionally opt into the employer-co-funded National Pension Scheme, with the company matching up to 10% of Basic Salary annually, subject to the applicable tax-exemption ceiling. Superannuation fund contributions for L6 and above are handled separately under the executive retirement benefits addendum.

Section 3: Statutory Gratuity Formula & Numerical Case Study

Gratuity is payable to an employee upon separation after rendering continuous service for a minimum of 4.8 years (5 years statutory threshold), except in cases of death or permanent disability, where the minimum service requirement is waived entirely.

Statutory Calculation Formula:

Gratuity Amount = $(15 \times \text{Last Drawn Monthly Basic Salary} \times \text{Completed Years of Service}) / 26$

Numerical Worked Example:

For an employee with a last drawn basic salary of \$6,000/month and 10 years of service:

Gratuity = $(15 \times \$6,000 \times 10) / 26 = \$900,000 / 26 = \$34,615.38$ USD.

The maximum statutory tax-free gratuity ceiling is capped at \$240,000 USD per employee.

Section 4: Nomination, Withdrawal & Settlement Timelines

Every employee must file a PF and Gratuity nomination (Form NOM-1) within 30 days of joining, naming a family member as beneficiary. Full and final PF settlement is processed within 30 days of the claim being filed post-separation; gratuity is disbursed within 30 days of the employee's last working day, with interest accruing on any delay beyond that window as required by statute.

Section 5: Partial Withdrawal & Advance Rules

Employees may apply for a partial, non-repayable PF advance under specific, documented circumstances:

Purpose	Minimum Service Required	Maximum Withdrawable
Medical treatment (self/dependent)	No minimum	Up to 6x monthly wages or full employee share
Home purchase / construction	5 years	Up to 90% of accumulated PF balance

Higher education (self/child)	7 years	Up to 50% of employee share
Marriage (self/sibling/child)	7 years	Up to 50% of employee share

Section 6: Tax Treatment of PF, NPS & Gratuity

PF withdrawals after 5 years of continuous service are fully tax-exempt; withdrawals before 5 years are taxable as income in the year of withdrawal, with the exception of withdrawals due to permanent disability or company closure. NPS contributions up to the statutory ceiling qualify for an additional tax deduction beyond the standard PF deduction limit. Gratuity is tax-exempt up to the statutory ceiling described in Section 3; any amount above the ceiling is taxed as regular income.

Section 7: Forfeiture Conditions

Gratuity may be wholly or partially forfeited only where an employee's service is terminated for proven acts of willful misconduct, riotous behavior, or an offense involving moral turpitude committed during the course of employment, and only after the employee has been given a documented opportunity to respond. PF balances, by contrast, are never forfeited regardless of the reason for separation, as they represent the employee's own vested savings.

Section 8: Transfer of PF Account on Change of Employer

Employees joining from a previous employer's PF scheme may transfer their existing balance into the company's PF trust within 6 months of joining using the standard inter-trust transfer form, preserving continuity of service for the 5-year tax-exemption threshold. The People Operations payroll team coordinates directly with the previous employer's trust administrator once the transfer request is filed.

Section 9: Death-in-Service Benefit Coordination

In the event of death while in service, the nominated beneficiary receives the full accumulated PF balance, the EPS pension benefit, gratuity calculated without regard to the 5-year minimum service threshold, and the Group Term Life Insurance payout described in the Health Insurance Plan, coordinated as a single settlement package by a dedicated HR case owner assigned within 3 business days of notification.

Section 10: Annual Statement & Self-Service Access

Every employee can view a real-time PF and NPS balance, contribution history, and nominee details through the retirement benefits self-service portal, refreshed monthly following payroll close. An annual consolidated statement — covering PF contributions, interest credited, NPS contributions and fund performance, and projected gratuity accrual to date — is issued each April for the preceding financial year, and employees are encouraged to review nominee details whenever a major life event (marriage, birth, divorce) occurs rather than waiting for the annual cycle.

Section 11: Employer Compliance & Audit Obligations

The company remits its own and the employee's PF contribution to the statutory trust by the 15th of the following month without exception, and any late remittance triggers a statutory penal interest charge borne entirely by the company, never passed on to the employee. An independent actuarial audit of the PF and gratuity trust is conducted annually, and the audited report is made available to the works council or employee representative body upon request, consistent with statutory transparency requirements.

Any employee who believes their PF or gratuity contribution has been miscalculated may request a line-item reconciliation from Payroll, which must be provided within 10 business days showing the exact basic-salary figure, contribution rate, and running balance used in the calculation.

Section 12: Frequently Encountered Calculation Scenarios

Scenario	How It Is Handled
Employee served 4 years 9 months, then resigns	Rounded up to 5 years under the 4.8-year rule; full gratuity applies
Basic salary changed mid-final-year via promotion	Last drawn basic salary at separation date is used, not an average
Employee moves from contractor to full-time mid-career	Gratuity service count starts from full-time conversion date unless offer letter states otherwise
Employee dies in service after 2 years	5-year minimum waived; full gratuity paid to nominee

Any scenario not captured above is escalated to the Total Rewards team for a documented ruling, which is then added to this internal scenario library to keep future calculations consistent across the organization.